benchmarks. RBI has encouraged the setting up of the Financial Benchmarks India Pvt. Ltd which is building a series of market benchmarks. I am hopeful that these will soon be used in innovative financial contracts.

INTERNATIONALIZATION

As a current account deficit country, India needs financing from abroad. Ideally, we would like to attract risk capital, which is in short supply in this country. This means encouraging Foreign Direct Investment, as well as equity investment. Foreign investors can also help deepen debt and derivative markets as they contribute to price discovery and liquidity.

Not all domestic entities should issue claims held by foreign investors. Ideally, of course, companies should be left to make decisions about what currency they borrow in, and how much they hedge, but given our weak bankruptcy system, there is moral hazard built into unhedged foreign borrowing – if the rupee appreciates, the promoter takes all the upside associated with paying the low dollar interest rate and the now-lower principal, if the rupee depreciates, the occasional unscrupulous promoter goes to his Indian bankers and asks them to bail him out. This is why the issuance of short-term dollar or yen-denominated debt by infrastructure companies, if left unhedged, could be severely problematic in case of rupee depreciation.

Therefore, we have encouraged companies that do not have foreign exchange earnings to either issue long-term dollar bonds, fully hedged shorter term bonds, or rupee-denominated Masala bonds abroad. The first issues recently of Masala Bonds reflect a coming of age of Indian debt that has been insufficiently remarked upon – for the first time in recent decades, the rupee's value is trusted enough in international markets that corporations can issue there in domestic currency. Going